

Drivers of Digital Transformation

What are Drivers?

- **Definition:** Forces that push organizations to transform digitally
- **Goal:** Understand **why digital transformation happens**
- **Idea:** Transformation doesn't happen randomly—it has **reasons and pressures**
- Example:
 - We start using a **calculator** instead of doing math by hand.
 - Why? Because it **makes work faster and easier**.
 - Same way, businesses adopt digital technology because of certain **forces or pressures**.

Technological Drivers

- **Technology makes transformation possible**
- **Internet, Mobile, Cloud**

Example:

Before: You buy toys in a shop.

After: You buy toys **online on Daraz using your phone.**

- Cloud stores information online so **you don't need paper.**
- **Big Data & AI**
- Netflix suggests shows you might like.
 - Amazon recommends products based on what you browse.
- **Impact:** Faster, smarter, and more connected systems
- Technology is like giving **superpowers to businesses.**

Example

Driver

Technological Drivers

Examples

1. Internet → Online shopping, Netflix
2. Mobile → Pay bills, book taxis
3. Cloud Computing → Google Drive, Zoom
4. Big Data → Spotify, Amazon recommendations
5. Artificial Intelligence → Chatbots, Netflix suggestions
6. IoT → Smartwatches, smart home devices

Explanation

Let's businesses reach customers anywhere

Access services on your phone anytime

Store data online, not on paper

Understand what customers like

Helps businesses make smart decisions automatically

Connect devices to apps for convenience

Economic Drivers

- **Money and competition push change**
- **Cost Reduction**
 - Automating tasks saves money

Example:

- Before: Paying salaries manually using paper slips.
- After: Using **online payroll software** to save time and money.

- **Competition**
 - Stay ahead or risk losing customers

Example:

- Traditional taxi vs Uber/Pathao
- Businesses adopt apps to **stay ahead**, or customers go to competitors.

Economic Drivers - Example

Example

Cost reduction → Online payroll, cloud servers

Competition → Uber/Pathao vs local taxis

Productivity → Automated inventory systems

Global market → Nepali crafts sold online

Flexible business models → Netflix subscription

Operational efficiency → AI in warehouses

Explanation

Saves money and reduces manual work

Stay ahead of competitors

Do more work in less time

Sell products worldwide

Change the way products/services are offered

Faster and smarter operations

Social Drivers

- **People's behavior shapes transformation**
- **Changing Customer Behavior**
- People want **fast, easy, and online services**.
 - Example: Food delivery apps like **Foodmandu, Bhojmandu**
 - Customers prefer **clicking on an app instead of going outside**.
- **Government & Policy Drivers**
 - Governments encourage digital services.
 - Example: Nepal's **e-Governance**: submit forms online instead of waiting in line.
- Businesses change digitally because **people and rules want them to**.

Examples

Example

Changing customer behavior → Food delivery apps

Mobile payments → eSewa, Khalti

Online learning → Zoom, Google Classroom

Social media influence → Instagram, Facebook shops

Work from home → Teams, Slack

Government & policy → e-Governance portals

Explanation

People want fast and easy services

Cashless and convenient transactions

Students can learn from anywhere

Businesses reach customers online

People work remotely efficiently

Online services encouraged by the government

COVID-19 as an Accelerator

- Pandemic forced businesses to **go digital quickly**
- Examples:
 - Online education (Zoom, Google Classroom)
 - Contactless payments (eSewa, Khalti)
- **Lesson:** Crisis speeds up digital adoption

Examples

Example

Online education → Zoom, Google Classroom

Digital payments → eSewa, Khalti

Online shopping → Daraz, SastoDeal

Healthcare → Telemedicine, online doctor consults

Entertainment → Netflix, YouTube, TikTok

Remote work tools → Teams, Slack

Explanation

Schools moved online quickly

Reduced cash handling during pandemic

People bought groceries online

Patients got medical help remotely

People entertained themselves at home

Offices shifted to online work

Forces behind Digital Transformation

- **Technological:** Internet, Mobile, Cloud, AI
- **Economic:** Cost reduction, Competition
- **Social:** Customer behavior, Government & policy
- **External shocks:** COVID-19 accelerates change
- **Key Idea:**
Digital transformation happens because of technology, money, people, rules, and even crises.